ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 10 - OPEN INTEREST SECRETS & SMART MONEY FOOTPRINTS

INTRODUCTION AND DISCLAIMER

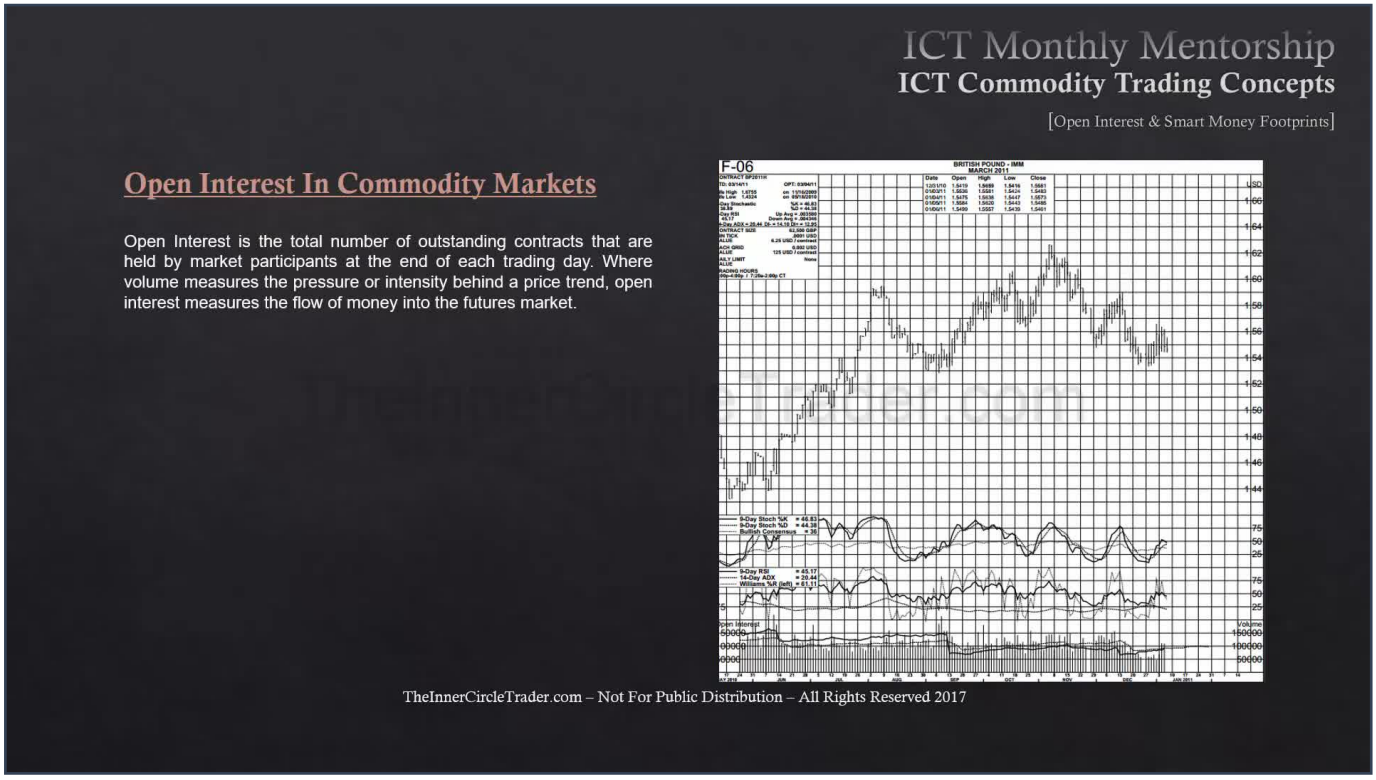
TIMESTAMP:
00:00:00

This is the last discussion for commodities for the month of June 2017 content. Commodities will be revisited in August with top-down analysis templates. It's very important to read the disclaimer. I am not a commodity trade advisor and not licensed to give trade advice. Everything discussed here as it relates to commodities is in the capacity of paper trading only.

ICT COMMODITY TRADING LESSON FIVE: OPEN INTEREST AND SMART MONEY FOOTPRINTS

TIMESTAMP: 00:00:33

This lesson focuses on 'Open Interest Secrets & Smart Money Footprints'. When I first started as a commodity trader, I was baptized by Ken Roberts, much like most commodity traders in North America in the 80s and 90s. His basic course, while not enough to make money, developed an insatiable desire about the financial markets. Larry Williams was the first in my list of mentors, and his open interest concepts are widely known. I built on his general guidelines, and everything I'm going to teach here is pretty much what I learned from Larry Williams, with a couple of my own twists.

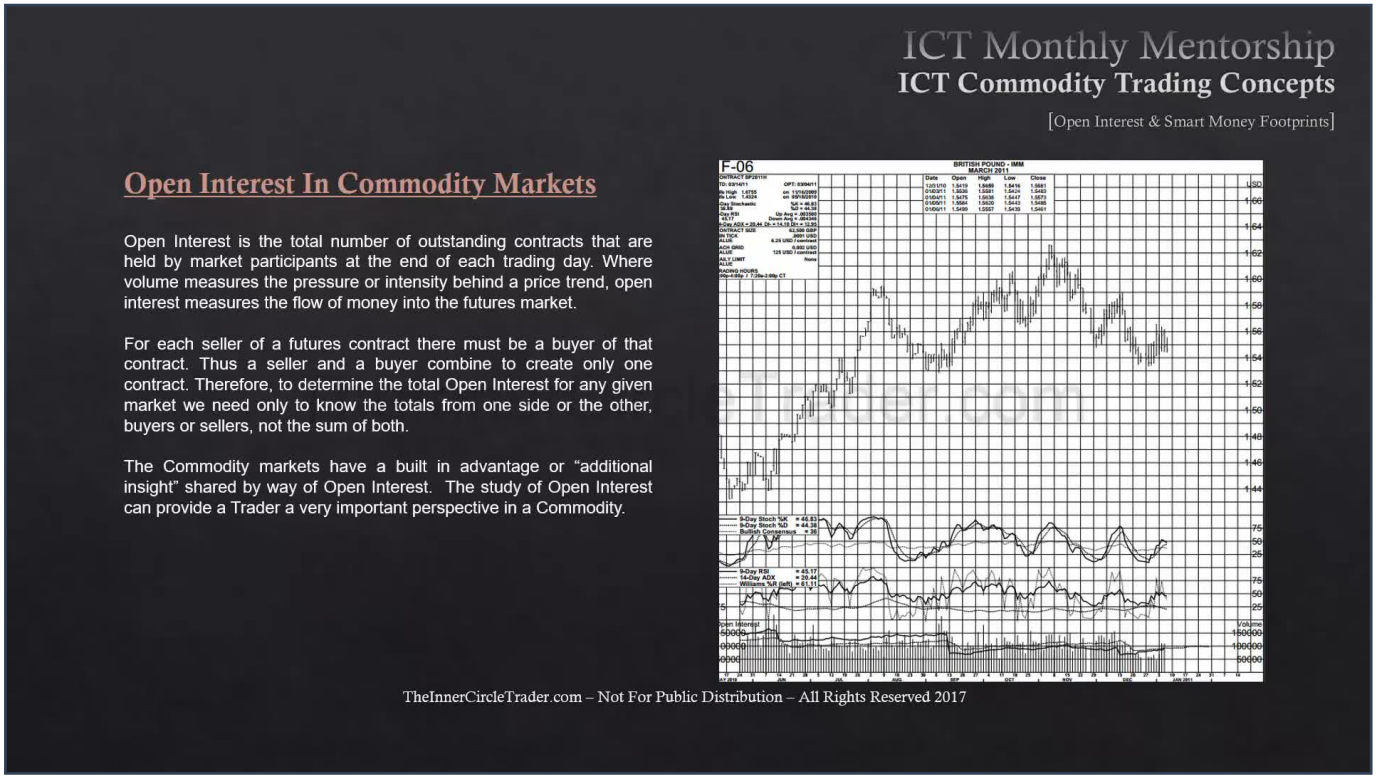


Open interest is the total number of outstanding contracts held by market participants at the end of each trading day. Where volume measures the pressure or intensity behind a price trend, open interest measures the flow of money into a Futures Market.

- For each seller of a Futures Contract, there must be a buyer of that contract.

- A seller and a buyer combine to create only one contract.

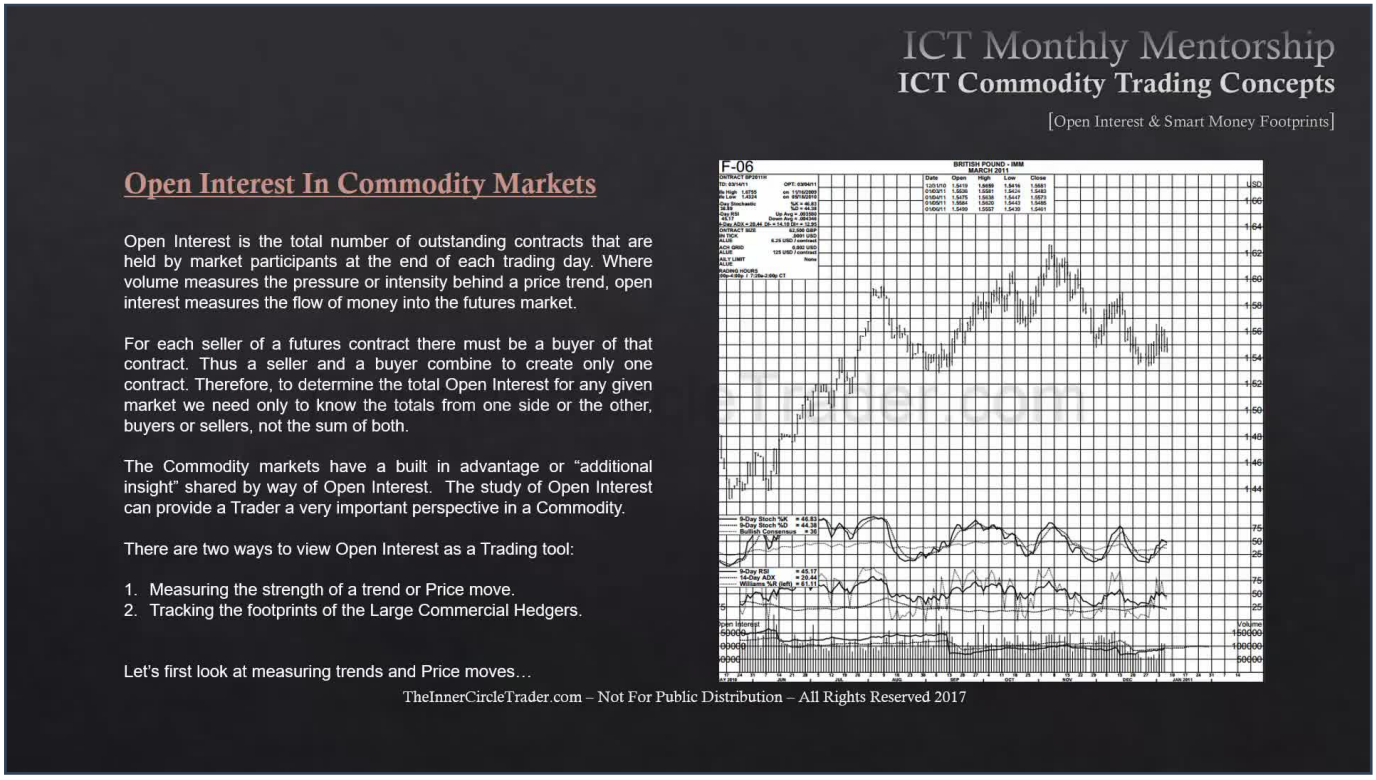
- To determine the total open interest for any given Market, we only need to know the totals of one side or the other (buyers or sellers), not the sum of both.



The commodity markets have a built-in advantage or additional insight shared by the way of open interest. The study of open interest can provide a trader a very important perspective in a commodity. There are two ways to view open interest as a trading tool:

- Measuring the strength of a trend or Price move

- Tracking the footprints of the large commercial Traders

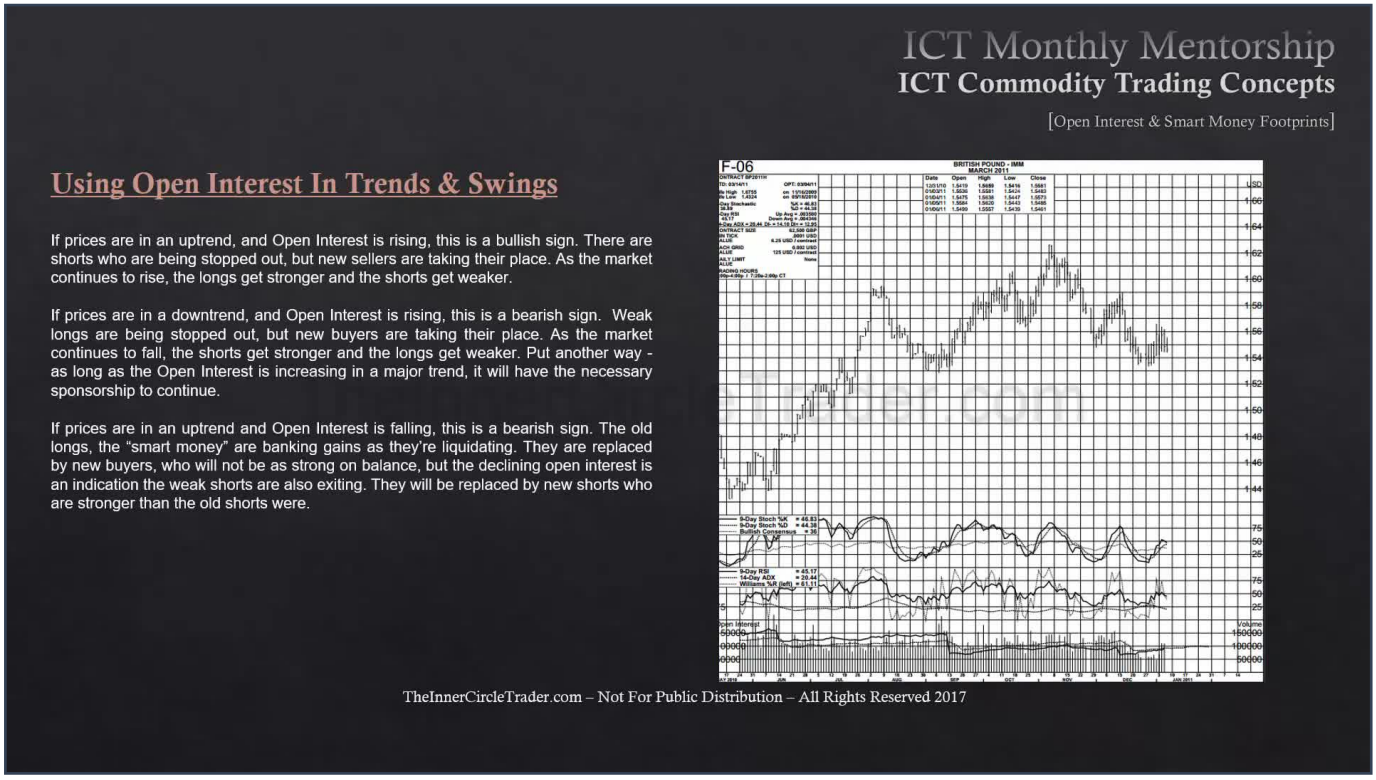


Let's first take a look at measuring trends and or Price moves with open interest.

- If prices are in an uptrend and open interest is rising: This is a bullish sign. Shorts are being stopped out, but new sellers are taking their place. As the market continues to rise, the longs get stronger and the shorts get weaker.

- If prices are in a downtrend and open interest is rising: This is a bear sign. Weak longs are being stopped out, but new buyers are taking their place. As the market continues to fall, the shorts get stronger and the longs get weaker.

- Put another way: As long as the open interest is increasing in a major Trend, it will have the necessary sponsorship to continue.

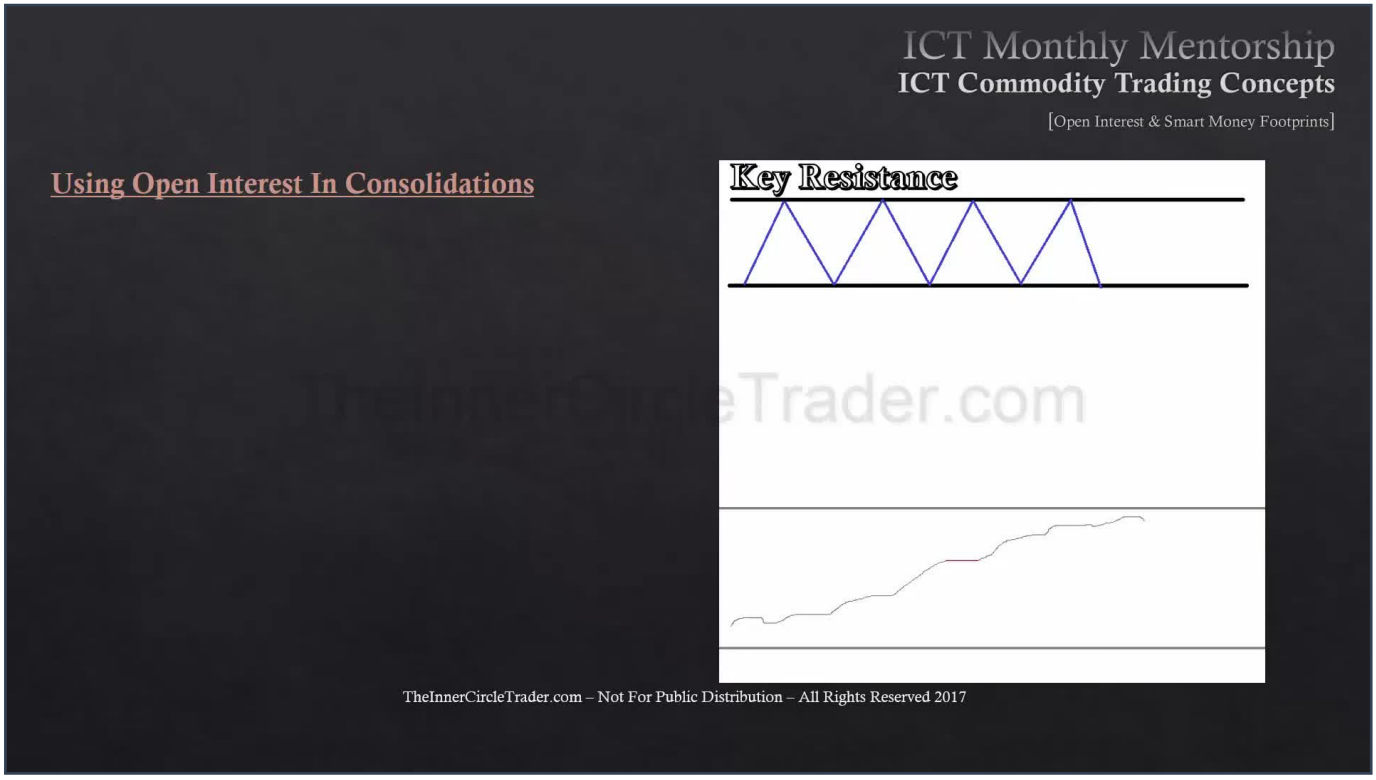


- If prices are in an uptrend and open interest is falling: This is a bear sign. The old longs (the smart money in this case) are banking gains as they're liquidating. They are replaced by new buyers who do not have the strength on balance. The declining open interest is an indication that the weak shorts are also exiting. They will be replaced by new shorts who are stronger than those old shorts that were trading earlier but got squeezed out.

- If prices are in a downtrend and open interest is falling: This is a bullish sign. Smart money (the shorts) are covering and liquidating profitable shorts. They will be replaced by new shorts not as strong as they were. The declining open interest indicates the squeezed longs are bailing. They will be replaced by new longs who are not as weakened by the lower prices as the old longs were.

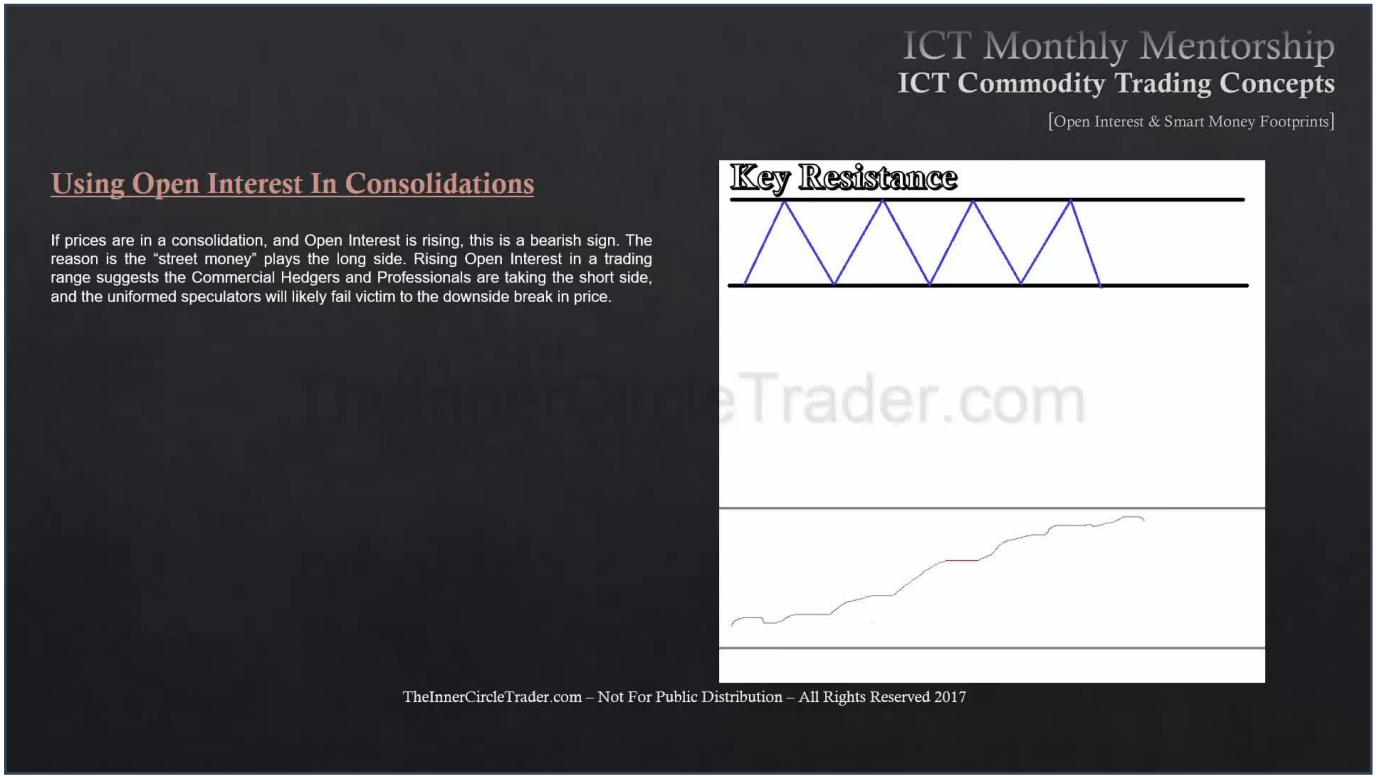
- Put another way: When the supply of losers is exhausted, the downtrend ends.

USING OPEN INTEREST IN CONSOLIDATIONS - RISING OPEN INTEREST (BEARISH)



- If prices are in a consolidation and open interest is rising: This is a bear sign. The reason is the street money plays the long side. Rising open interest in a trading range suggests commercial hedgers and professionals are taking the short side, and the uninformed speculators will fall victim to the downside break in price.

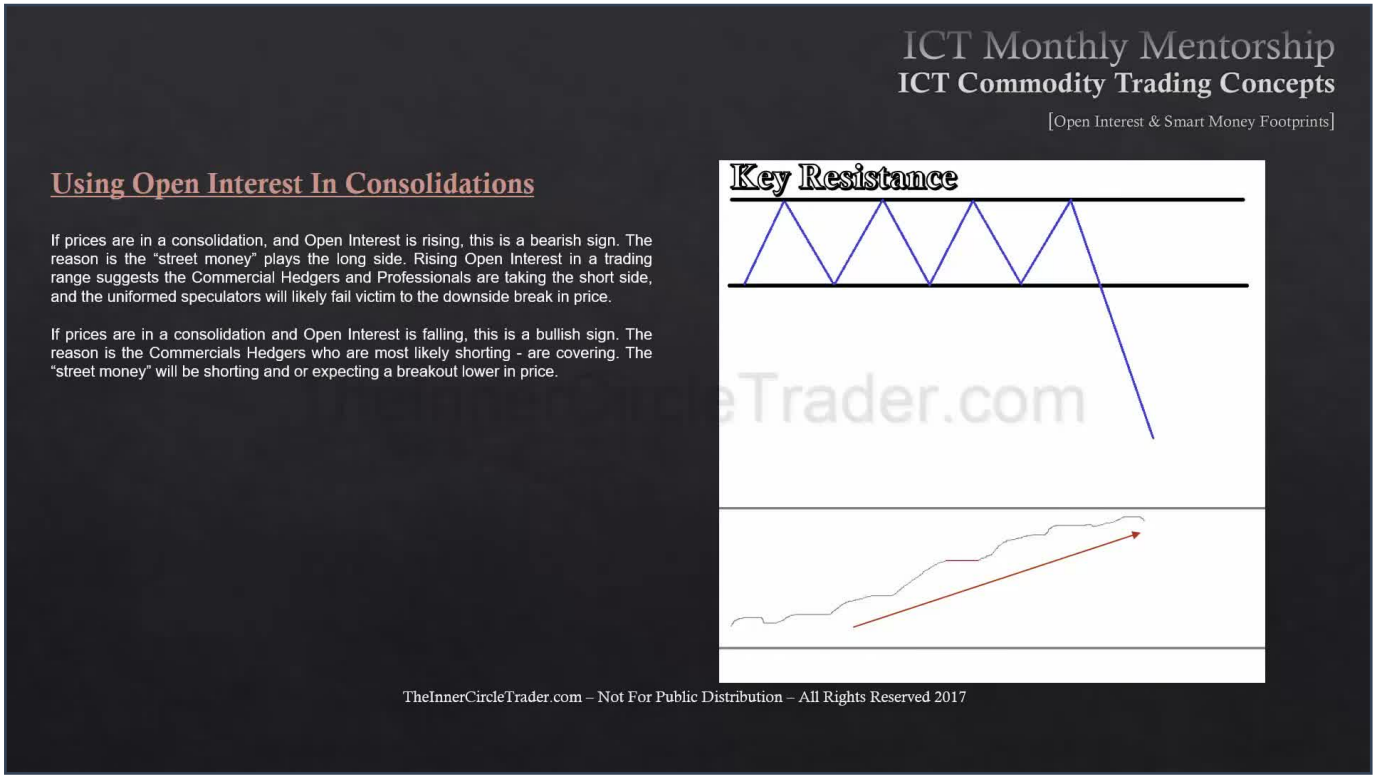
- Think about what causes open interest: If the commercial hedgers are the largest liquidity provider and they offer the commodity for purchase for trading, if they're willing to sell a lot of it, that means they don't believe that price is going to go higher. Otherwise, they would hold out and wait for higher prices. Since they are the most likely largest pool of counterparty to commodity traders, if the open interest is rising, they have an expectation that prices are not going to increase because on balance, they're larger as a supplier or seller of a commodity than they are a buyer. So open interest increasing provides a measure of their willingness to be a heavy seller. If open interest is high, that means they have a very high interest in seeing lower prices.



We can see that graphically where the accumulative line increases while the market stays in a Range, price will generally break down. The commercials will be the indication of that. When we see this, we want to couple this with COT hedging programs or the net Trader's position as a whole. We want to see the commercials net short or increasing their short selling.

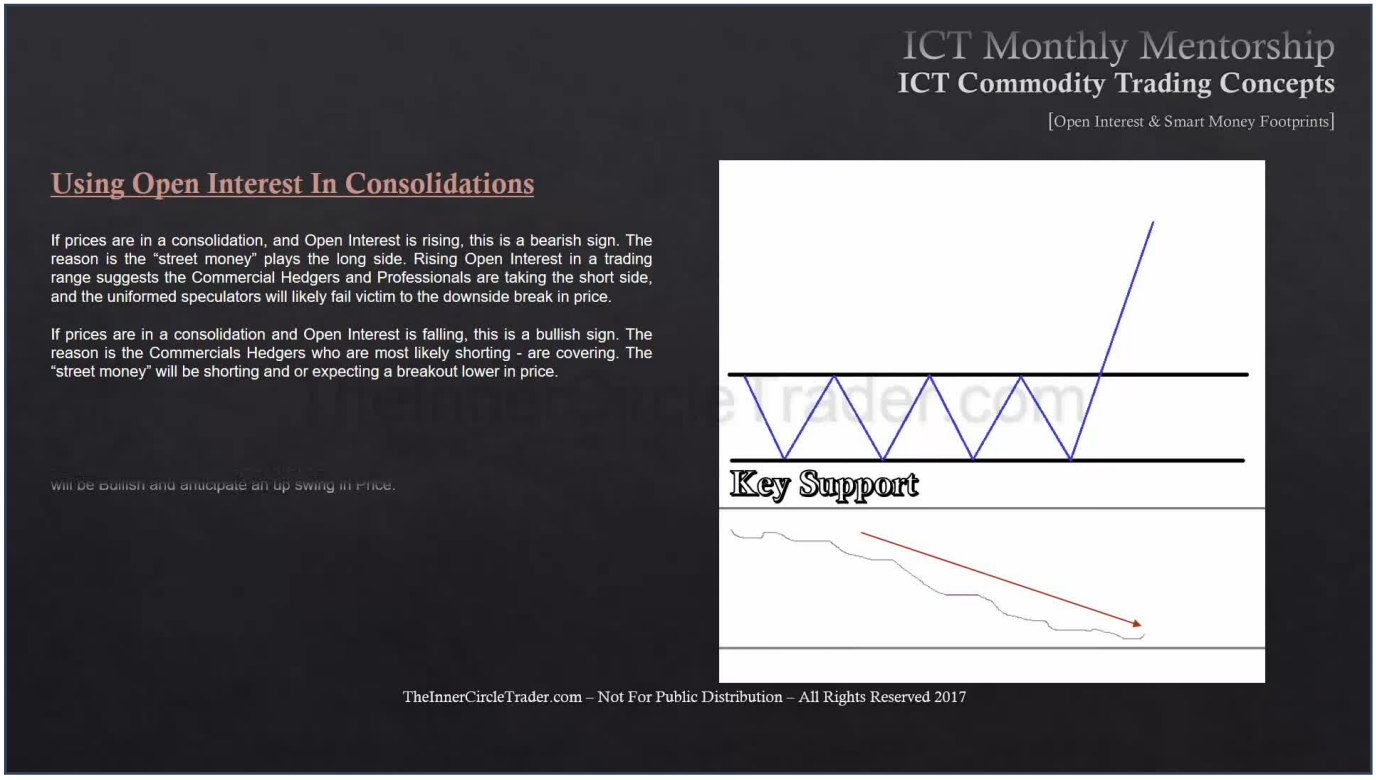
USING OPEN INTEREST IN CONSOLIDATIONS - FALLING OPEN INTEREST (BULLISH)

00:07:16



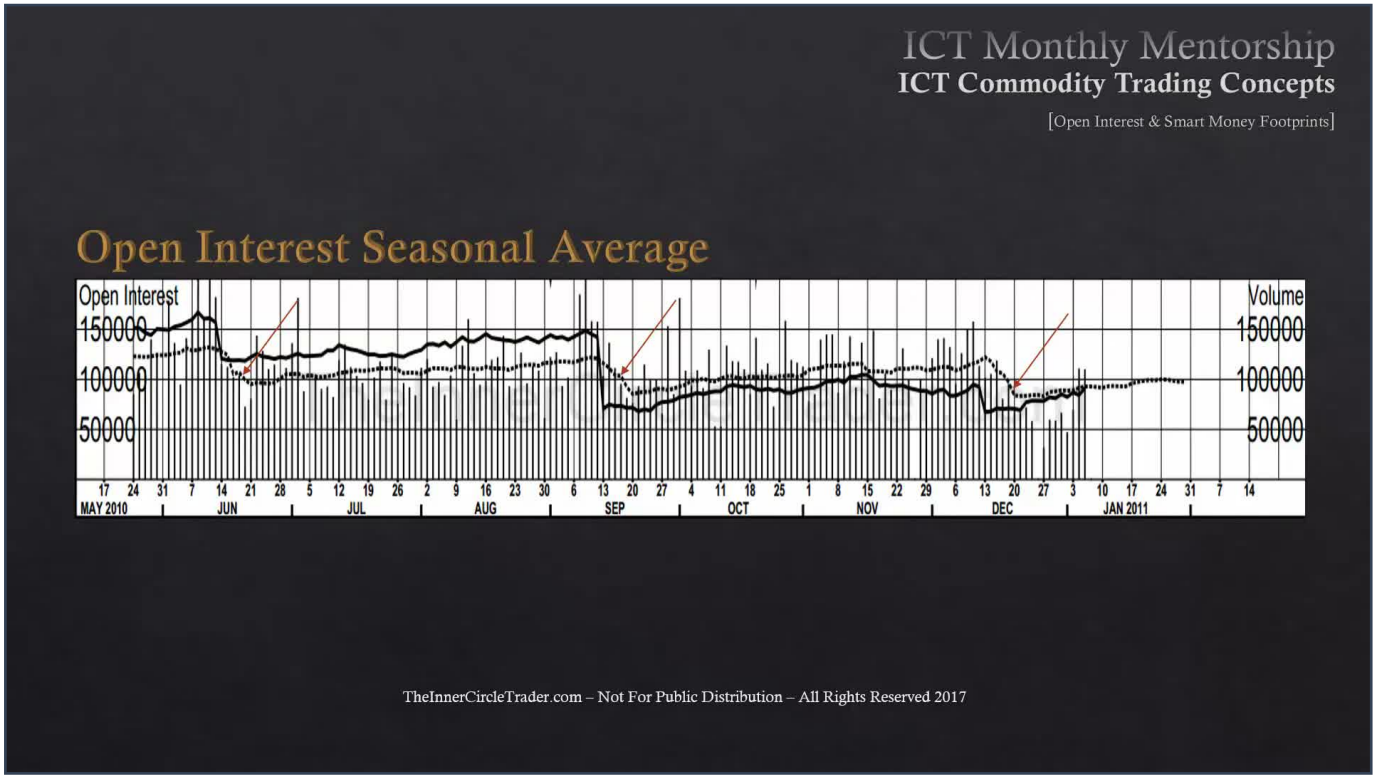
- If prices are in a consolidation and open interest is falling: This is a bullish sign. The reasons is the commercials hedgers who are most likely shorting are covering. Street money will be shorting and expecting a breakout lower in price.

- This is seen graphically with the cumulative line at the bottom here, which would be open interest declining while price stays in a range at a key support level, and the market breaks to the upside.



- Ideally, we want to look for long-term or higher time frame levels in price that anticipate this open interest concept. In times where price is trading at key support levels on a higher time frame basis, open interest will decline or drop while price is consolidating at or near a higher time frame support or a discount array (as we define institutional reference points). This will be bullish and anticipate an upswing in price.

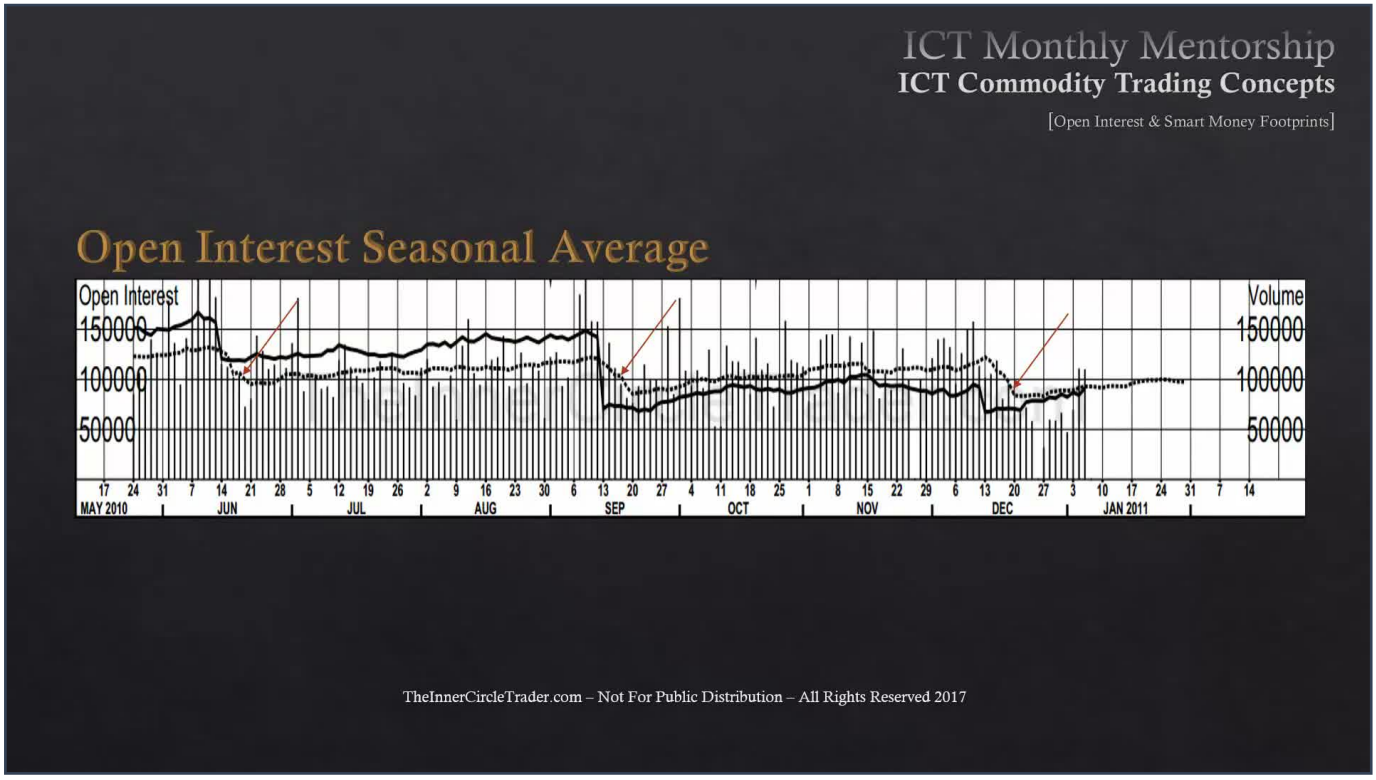
- Conversely, we want to look for long-term or higher time frame resistance levels in price to anticipate this open interest concept. In times where price is trading at a key resistance level on a high time frame basis, open interest will rise while price is consolidating at or near the higher time frame resistance or a premium array (as we outline institutional reference points). This will be bearish and we anticipate a downswing in price.



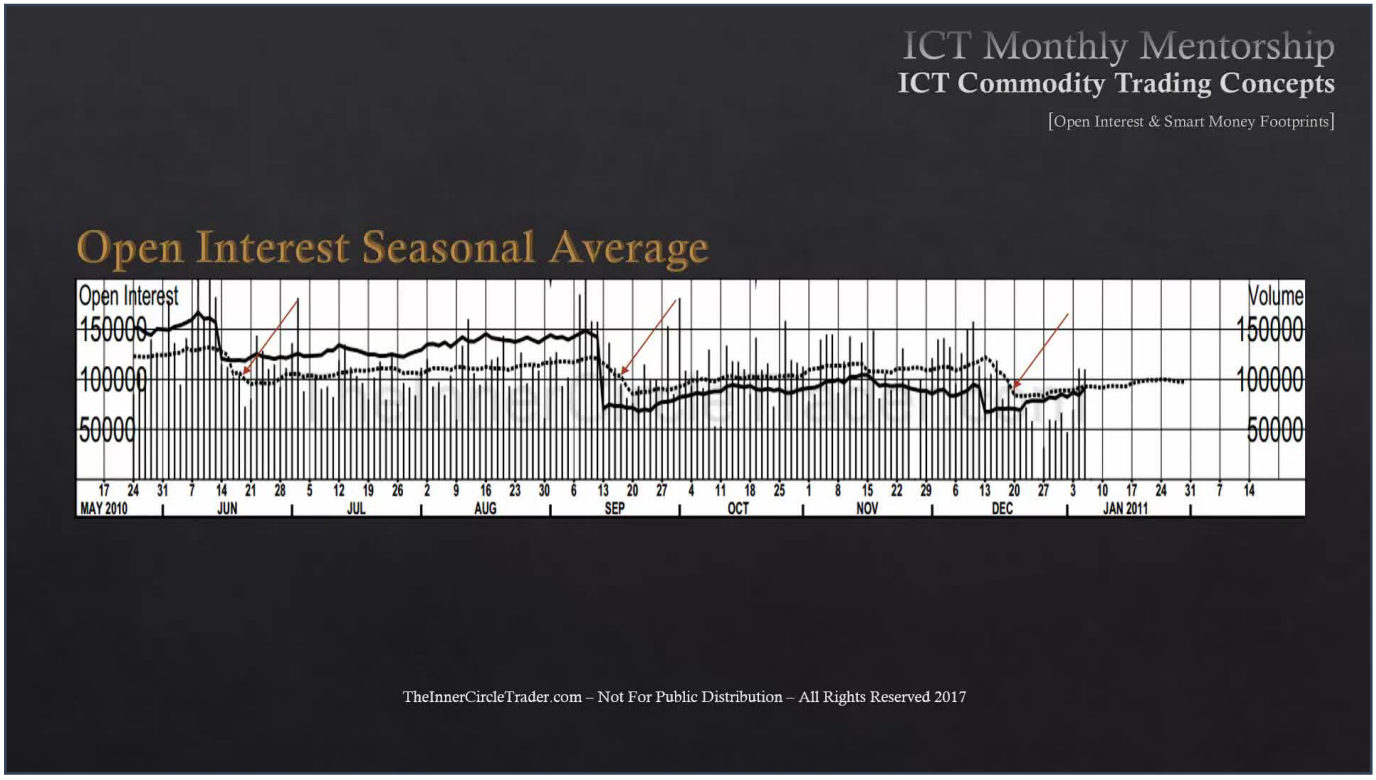
When we look at open interest, we can see this on barchart.com. If you do the total open interest and volume, that will give you the true open interest reflection for declines and rallies and its cumulative basis line, and compare that with price action. To get a better picture, you're going to have to avail yourself of a resource or two. I like crb Trader and I like pricecharts.com. The reason why, if you're going to be a commodity trader, I still subscribe to these mediums even though I don't actively trade the commodities market, I use it for my Forex analysis.

SEASONAL AVERAGE OF OPEN INTEREST

TIMESTAMP:
00:09:16



When I'm looking for quarterly shifts or mega trades, I look at the seasonal average of open interest. Both pricecharts.com and crb Trader both plot this for you. What it is, is you can see the dotted cumulative line, which is the average of a multi-year or seasonal average over the last few years with open interest. This usually has done, and as you can see around the June, September, and December time periods, which are generally the contract expiration and rollover period. When I teach open interest, invariably someone's going to say, 'Well, what you're seeing there is the contract rollover and expiration,' and while that's generally built into it, yes, it's not indicative of the entire answer.



There are going to be times when open interest reflects a great deal of buying and a great deal of shorting by the commercials. If we are seeing contract expiration and traders are trading, say, copper, if copper prices are seeing a bull market, just because the contract expiration is what we're seeing here, traders are not just going to stop trading because that contract expires. They're going to sell or buy to cover their position in the nearby contract and roll right over into the next month out. So open interest will still be reflected, it won't change anything, because we'll be replacing one for one.

- By looking at open interest like this, what I like to see is if open interest declines. Many times it can rally above the seasonal tendency or the average (the dotted line). If the solid dark line (actual open interest) is above the seasonal tendency, for instance from June through to the second week of September, that's actually, if it were in a bearish environment and we were trading at a resistance level, I could be expecting some really nice increases in open interest at a resistance level while it's above the average of its open interest normal seasonal - that would be bearish.

- When it drops down below the average or that dotted line of open interest (the multi-year average), what that's indicating here is the commercials are really covering shorts. They're well below in September than their average of open interest movement. So in this case, if the commodity that we're trading was at a bullish environment, in other words at a long-term support level at a discount array, and we've seen this condition and price was in a consolidation, that would be extremely bullish, and I would expect that price to go higher.

Let's take a look at a case study, the British pound. We're looking at a monthly chart in the 2010 time period. We have a bullish order block outlined from 2009's trading and another bullish order block from the early part of 2010. We're going to look at the second condition here because we have institutional overflow suggesting higher prices because price had respected a mid 2010 bullish order block response off of a 2009 bullish order block. Price then rallied through the higher order block, the second one, and trades down to it and finds some support there.

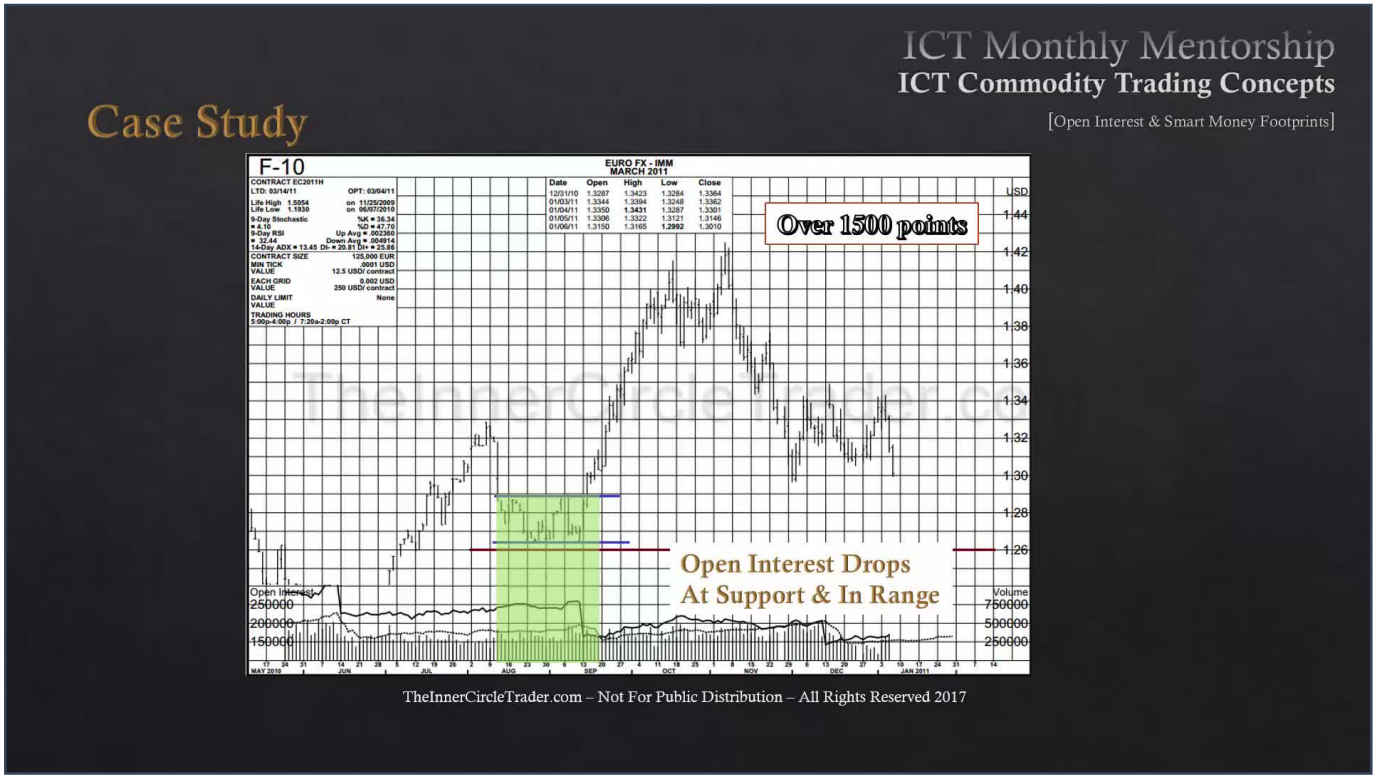
- Going into a weekly chart, in September 2010, the commercials were net long. We're looking specifically at that low. You can also see it's trading back down into an old bullish breaker seen in the first quarter of 2010.

- On a crb Trader chart, highlighting the 1.53 level (higher time frame support level or bullish order block), during the period of consolidation, open interest takes a dive. It goes down below the dotted line or the average seasonal tendency for open interest. That is extremely bullish. Price as a result rallies with the open interest dropping at a support level while price is in consolidation, with the net trader's position showing the commercials are bullish. That's a wonderful condition to be in, expecting higher prices. Footprints of smart money are clearly being shown here, they can't hide what they're doing (covering shorts). Price moves in the British pound over 800 points in a short span of time, less than two months.

We're going to look at another example with the Euro on a weekly chart. The commercials are bullish, seen above the zero line. Look at the extreme bullish reading we had prior to it, just left of that, when the price made its low in the early part of 2010. Then we have price rallying off of that low and having a retracement off of 1.33 down into a support level at 1.26. The 1.26 level is a bullish order block (the last two down weekly candles), which is also finding at the same time the bullish net traders' position.

- Highlighting the high of that series of two down weekly candles, there's our bullish order block, and price trading back down to that bullish order block as a discount array, again with commercials net long. Going into a daily chart back in 2010, you see the range outlined, a small little consolidation, and the 1.26 higher time frame support level.

- At the same time, we see open interest take a dive, and again, it drops down below the seasonal average of open interest. We don't just simply look at that black solid line, that's not enough. If open interest is going to decline as you can see, in times it does drop down in September, but look how much it drops down in actual open interest. That's a totally different storyline altogether. Price moves in an amazing 1500 pips or points for this specific commodity. Open interest drops at a support level while price is in consolidation, net trading position is bullish. Amazing price response there, and look how fast price moves up, it does not spend a lot of time dilly-dallying around. It completely vaults from the 1.26-1.27 level all the way up into the 1.42s. Again, in less than two months, 1500 points, or in a Forex Market, that would be over 1500 pips available as a price swing.



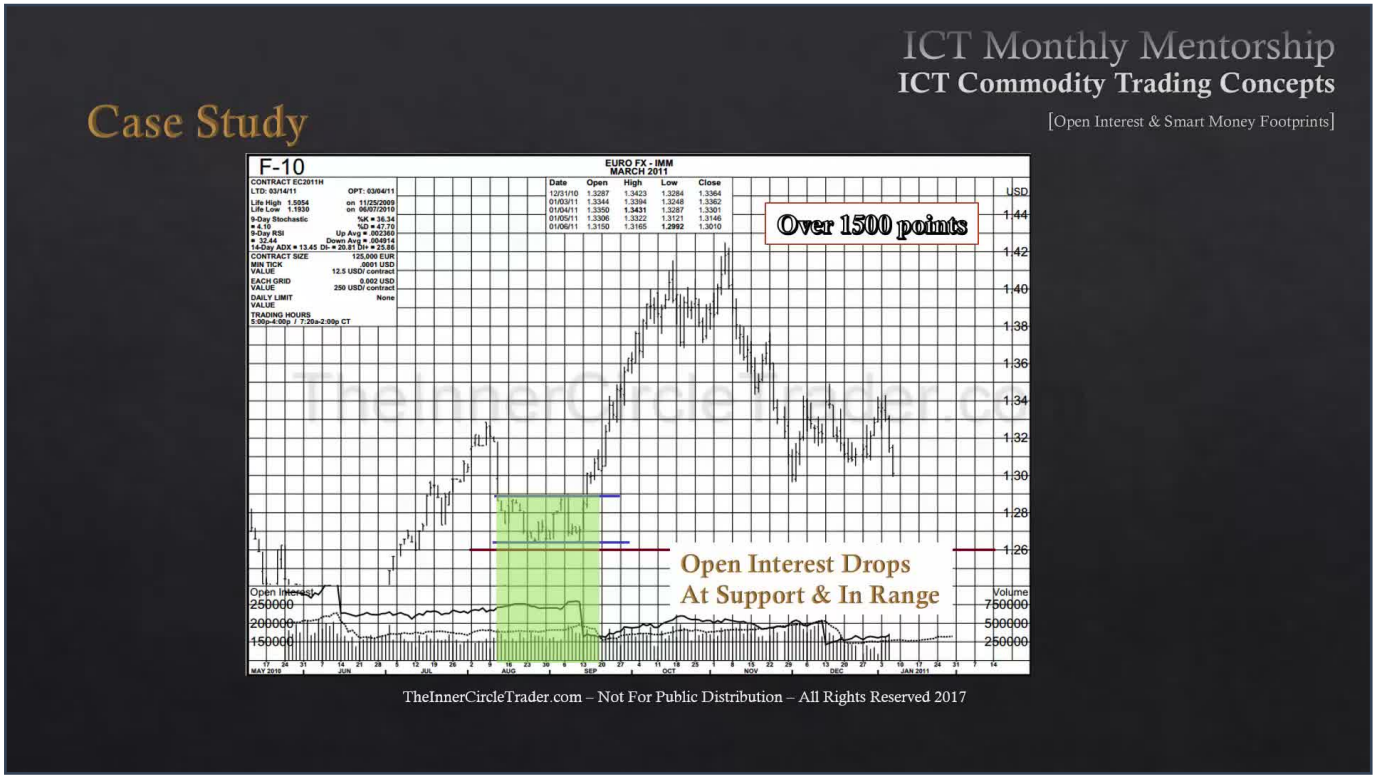
When we talk about these things, we're not just giving examples of where it works once in a while, because it works on the higher time frame basis. So these open interest ideas are not day trades, they're really selected for swing trading, position trading, or to get your trading in sync with that larger move. Say for instance, we looked at this scenario and it was the first week of October, we can see that that price move has a lot more significance behind it because it's a large macro play. So there's going to be a dominant support structure behind it for higher prices.

- We can go back and look into that weekly chart and see where price may reach for a premium array, and while that still has not been fulfilled, we can be looking for day trades where the open is near the low of the day and then rally up, or look for one shot one kill for expansions on the weekly range for a higher Friday close from the week's opening.

- The way I use open interest again is not just simply is open interest declining or is it rallying. I have to have it coupled with a higher time frame level, because understanding what the hedgers are doing (the commercials), they have a more closely tied relationship to what price is actually doing based on what it should be doing fundamentally. They also look at the higher time frame charts, the value price levels historically for valuation and the idea of looking for support and resistance on those higher time frame charts by using our PD array Matrix and coupling with COT hedging programs and the net Trader's position.

- Now, with open interest declining at supports or discount arrays, or open interest increasing while at resistance levels or premium arrays, we can anticipate much stronger moves, much more predictable moves. While it doesn't answer everything and it doesn't give you a signal every day or every week, we can

be looking for these moves a couple times a year where it gives us a lot of framework to have all the time frames we can trade at our disposal.



Hopefully, you found this trading lesson insightful, and until next time, I wish you good luck and good trading.